What is Tax Harvesting?

Long-term gains from equity funds are taxed at 12.5%. Tax Harvesting is a technique that reduces this impact. It utilises the ₹1.25 L annual LTCG exemption by selling and buying back part of your investment such that you “realise” gains every year.

Example: Let’s say your investment yields gains of ₹1L every year. After 3 years, the gains are ₹3L and you decide to sell. Initial investment was 500000

	Without Tax Harvesting	**With Tax Harvesting**
Initial Investment	500000	500000
After 5 Years	500000+300000=800000	500000+300000=800000
Taxable Gains **(minus ₹1.25 L exempt)**	300000-125000=175000	NIL
LTCG tax @12.5%	21875	NIL
In-Hand Gain	278125	300000
Total	778125	800000

Question 1 :- Ravi invested ₹3,00,000 in an equity mutual fund. Over four years, his investment appreciates steadily, and at the end of Year 4, the value is ₹5,80,000. The annual unrealized gains are:

- Year 1: ₹50,000
- Year 2: ₹60,000
- Year 3: ₹70,000
- Year 4: ₹1,00,000

Ravi considers two options:

1. Redeem the entire amount at the end of Year 4 (No tax harvesting).
2. Use tax harvesting by redeeming gains each year up to the exemption limit of ₹1,25,000 per year.

Calculate:
a) Total amount Ravi receives without tax harvesting and tax paid.
b) Total amount Ravi receives with tax harvesting and tax paid.

Solution

Step 1: Total gains over 4 years = ₹50,000 + ₹60,000 + ₹70,000 + ₹1,00,000 = ₹2,80,000

Initial investment = ₹3,00,000
Total Investment value at end of year 4 = ₹5,80,000 (which matches initial + gains)

Case 1: Without Tax Harvesting (Redeem all in Year 4)

- Total Gain = ₹2,80,000
- Exempt LTCG per year = ₹1,25,000
- Taxable Gain = ₹2,80,000 - ₹1,25,000 = ₹1,55,000
- LTCG Tax = 12.5% of ₹1,55,000 = ₹19,375
- Amount after Tax = ₹5,80,000 - ₹19,375 = ₹5,60,625

Case 2: With Tax Harvesting (Redeem gains yearly up to ₹1,25,000 exemption)

- Year 1: Gain ₹50,000 — fully within exemption, no tax
- Year 2: Gain ₹60,000 — fully within exemption, no tax
- Year 3: Gain ₹70,000 — fully within exemption, no tax
- Year 4: Gain ₹1,00,000 — fully within exemption, no tax
- Total Gains Redeemed = ₹2,80,000, Tax Paid = ₹0
- Total Amount after Tax = ₹5,80,000 (full amount)

Question 2 : Sheetal invested ₹4,00,000 in an equity mutual fund. Over four years, her investment appreciated, and at the end of Year 4, the value became ₹7,20,000. The annual unrealized gains are:

- Year 1: ₹70,000
- Year 2: ₹80,000
- Year 3: ₹90,000
- Year 4: ₹1,80,000

Sheetal considers two options:
a) Redeem the entire amount at the end of Year 4 (No tax harvesting).
b) Use tax harvesting by redeeming gains each year up to the exemption limit of ₹1,25,000 per year.

Calculate:
a) Total amount Sheetal receives without tax harvesting and tax paid.
b) Total amount Sheetal receives with tax harvesting and tax paid.

Question : Anil had earned from listed equity shares an amount of Rs. 8,00,000 in short-term capital gains (STCG) and Rs. 10,00,000 in long-term capital gains (LTCG) during the financial year. Troubled by continuous losses in certain underperforming stocks, he sold them and realised Rs. 2,50,000 as short-term capital loss.

Questions:

1. Calculate the net taxable STCG and LTCG for Anil after setting off the short-term capital loss.
2. If the STCG tax rate is 20% and the LTCG exemption is Rs. 1,25,000 per year (tax rate on remaining LTCG is 12.5%), calculate:
    - The total tax liability on STCG
    - The total tax liability on LTCG

Solution:-

Net Taxable STCG and LTCG After Set-off

- **STCG earned:** ₹8,00,000
- **STCG loss realized:** ₹2,50,000
- **Net Taxable STCG:** ₹8,00,000 - ₹2,50,000 = ₹5,50,000
- **LTCG earned:** ₹10,00,000
- **LTCG exemption:** ₹1,25,000
- **Net Taxable LTCG:** ₹10,00,000 - ₹1,25,000 = ₹8,75,000

Tax Liability Calculations

a. STCG Tax Liability (at 20%):

STCG Tax=5,50,000×20%=₹1,10,000STCG Tax=5,50,000×20%=₹1,10,000

b. LTCG Tax Liability (at 12.5%):

LTCG Tax=8,75,000×12.5%=₹1,09,375LTCG Tax=8,75,000×12.5%=₹1,09,375

Component	**Taxable Amount (₹)**	**Tax Rate**	**Tax Liability (₹)**
STCG	5,50,000	20%	1,10,000
LTCG (after exemption)	8,75,000	12.5%	1,09,375

1. Rajesh has the following details for FY 2024-25 (Assessment Year 2025-26):

- **Salary Income: ₹10,00,000**
- **HRA Exemption under Section 10(13A): ₹40,000**
- **Long-term capital gains (LTCG) from equity shares: ₹1,00,000**
- **Investment under Section 80C (PF, life insurance, etc.): ₹1,80,000 (eligible max limit ₹1,50,000)**
- **Contribution to National Pension Scheme under Section 80CCD(1B): ₹50,000**
- **Medical insurance premium under Section 80D: ₹30,000 (for self and family)**
- **No other sources of income**
- **Income tax slab**

Income Slab (₹)	Tax Rate
Up to ₹2,50,000	Nil
₹2,50,001 to ₹5,00,000	5%
₹5,00,001 to ₹10,00,000	20%
Above ₹10,00,000	30%

Tasks:

1. **Compute Gross Total Income**
2. **Calculate Eligible Deductions under Sections 80C, 80CCD(1B), and 80D**
3. **Compute Total Taxable Income after deductions**
4. **Calculate Income Tax Payable under the old tax slabs:**
5. **Add 4% health and education cess**
6. **Calculate final tax liability**

Solution:

Given Data:

- **Salary Income: ₹10,00,000**
- **HRA Exemption under Section 10(13A): ₹40,000**
- **Long-Term Capital Gains (LTCG) from equity shares: ₹1,00,000**
- **Investment under Section 80C (PF, life insurance, etc.): ₹1,80,000 (max limit ₹1,50,000)**
- **Contribution under Section 80CCD(1B): ₹50,000**
- **Medical insurance premium under Section 80D: ₹30,000**

- **No other sources of income**

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Step 1: Compute Gross Total Income (Before Deductions)

Gross Salary=₹10,00,000−HRA exemption ₹40,000=₹9,60,000Gross Salary=₹10,00,000−*HRA exemption* ₹40,000=₹9,60,000

Step 2: Calculate Eligible Deductions

- **Deduction under Section 80C (max limit): ₹1,50,000**
- **Deduction under Section 80CCD(1B): ₹50,000**
- **Deduction under Section 80D: ₹25,000**

Total Deductions=₹1,50,000+₹50,000+₹25,000=₹2,25,000

Step 3: Compute Total Taxable Income After Deductions

Taxable Income=₹10,60,000−₹2,30,000=₹8,30,000Taxable Income=₹9,60,000−₹2,25,000=₹735000

Step 4: Calculate Income Tax Payable Under Old Tax Slabs

Income Slab (₹)	Tax Rate	Tax Calculation	Tax (₹)
Up to ₹2,50,000	Nil	-	0
₹2,50,001 to ₹5,00,000	5%	(₹5,00,000 - ₹2,50,000) × 5% = ₹2,50,000 × 5%	₹12,500
₹5,00,001 to ₹735000	20%	(₹7,35,000 - ₹5,00,000) × 20% = ₹2,35,000 × 20%	₹47,000

Total Tax Before Cess=₹12,500+₹47,000=₹59,500

Step 5: Add Health and Education Cess (4%)

Cess=₹59,500×4%=₹2,380

Step 6: Calculate Final Tax Liability

Final Tax Payable=₹59,500,500+₹2,380=₹61880

Step	Description	Calculation	Amount (₹)
Step 1	Gross Salary after HRA exemption	₹10,00,000 - ₹40,000	9,60,000

Step	Description	Calculation	Amount (₹)
Step 2	Eligible Deductions	80C: ₹1,50,000 + 80CCD(1B): ₹50,000 + 80D: ₹25,000	2,25,000
Step 3	Taxable Income after deductions	₹9,60,000 - ₹2,25,000	7,35,000
Step 4	Income tax calculation under old tax slabs		
	- Up to ₹2,50,000	Nil	0
	- ₹2,50,001 to ₹5,00,000 @ 5%	(₹5,00,000 - ₹2,50,000) × 5%	12,500
	- ₹5,00,001 to ₹7,35,000 @ 20%	(₹7,35,000 - ₹5,00,000) × 20%	47,000
	Total Tax Before Cess	12,500 + 47,000	59,500
Step 5	Health and Education Cess (4%)	₹59,500 × 4%	2,380
Step 6	Final Tax Payable	₹59,500 + ₹2,380	61,880

Numerical 2: Sunita has the following details for FY 2024-25 (Assessment Year 2025-26):

- **Salary Income: ₹12,00,000**
- **HRA Exemption under Section 10(13A): ₹50,000**
- **Long-term capital gains (LTCG) from equity shares: ₹1,20,000**
- **Investment under Section 80C (PF, life insurance, etc.): ₹1,60,000 (eligible max limit ₹1,50,000)**
- **Contribution to National Pension Scheme under Section 80CCD(1B): ₹40,000**
- **Medical insurance premium under Section 80D: ₹20,000 (for self and family)**
- **No other sources of income**

Tasks:

1. **Compute Gross Total Income**
2. **Calculate Eligible Deductions under Sections 80C, 80CCD(1B), and 80D**
3. **Compute Total Taxable Income after deductions**
4. **Calculate Income Tax Payable under the old tax slabs:**

Income Slab (₹)	Tax Rate
Up to ₹2,50,000	Nil
₹2,50,001 to ₹5,00,000	5%
₹5,00,001 to ₹10,00,000	20%
Above ₹10,00,000	30%

5. **Add 4% health and education cess**
6. **Calculate final tax liability**

Numerical 3: Sunita has the following details for FY 2024-25 (AY 2025-26):

- **Salary Income: ₹12,00,000**
- **HRA Exemption under Section 10(13A): ₹50,000**
- **LTCG from equity shares: ₹1,50,000**
- **Investment under Section 80C: ₹1,60,000**
- **Contribution under Section 80CCD(1B): ₹40,000**
- **Medical insurance premium under Section 80D: ₹20,000**
- **No other income**

Calculate Gross Total Income, deductions, taxable income, and tax payable including cess.

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